

Before the
U.S. COPYRIGHT OFFICE, LIBRARY OF CONGRESS

In the Matter of
Section 1201 Study; Notice and Request for Public Comment
Docket No. 2015-8

Reply Comments of the Electronic Frontier Foundation
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The Electronic Frontier Foundation appreciates the Copyright Office's efforts to evaluate the real-world impact of Section 1201 of the Digital Millennium Copyright Act and to consider potential solutions to problems this law has caused. EFF responds here to comments filed by other parties in this policy study.

Two years after Section 1201 was enacted, a court described circumvention of a technological measure as "the electronic equivalent of breaking into a locked room in order to obtain a copy of a book."¹ Sixteen years later, that analogy should be cause for alarm. Today, we put our bodies in "locked rooms" (cars and trucks), and we put "locked rooms" in our bodies (medical implants). The "locked rooms" of mobile computing devices handle our most intimate data and communications. Everyone who places their health, safety, finances, and private information in the trust of these "locked rooms" needs the ability to audit what goes on within them, to modify them as necessary, *and* to be assisted in these tasks by the service providers of their choice.

Users of lawfully acquired digital media, including people with disabilities, students, educators, and artists also need greater access to the "locked rooms" within that media. These problems, too, have multiplied and will continue to grow.

¹ *Universal City Studios, Inc. v. Reimerdes*, 111 F. Supp. 2d 294, 316 (S.D.N.Y. 2000).

In the Notice of Inquiry, the Copyright Office recognized that the current statute and the triennial rulemaking process are showing strain in several areas and that change may be needed.² The comments filed March 4th show remarkable uniformity on two points: that the triennial rulemaking process is burdensome for both participants and the Office, and that procedural changes can ease that burden without waiting for Congress to act.

In addition, the Copyright Office should keep the following points in mind as it formulates changes to the rulemaking process and recommendations to Congress:

First, the existence of digital media distribution services affiliated with major media companies does not show that the current Section 1201 legal regime is working well, because it systematically excludes independent innovation.

Second, Section 1201 neither invites nor permits the Copyright Office to evaluate non-copyright-related public policy issues as grounds for denying, qualifying, or delaying exemptions where an adverse impact has been shown. Inviting other federal agencies to participate in the process does not cure this lack of legal authority, and exacerbates the complexity, burden, and expense of the process.

Finally, the Librarian can grant exemptions to 1201(a)(1) liability for third-party assistance with acts of circumvention, and indeed must do so when an adverse impact on non-infringing use is shown. The statute should be amended to allow for the development and sale of circumvention tools with no substantial nexus to infringement, but lack of Congressional action does not justify continuing an overly limiting interpretation of current law.

1. The Triennial Rulemaking Is Unnecessarily Complex, Expensive, and Burdensome on All Involved.

Comments from groups and individuals of numerous backgrounds and interests agree that the triennial rulemaking process is burdensome for both participants and the Copyright Office. For example, “Microsoft supports reasonable efforts to streamline and reduce the burdens of this process.”³ The Copyright Alliance notes that “the rulemaking process as currently structured imposes significant burdens on both the Copyright Office and participants in the rulemaking.”⁴ The Entertainment Software Association believes that “most people who have been involved significantly in a triennial rulemaking proceeding would likely agree that those proceedings are resource-intensive . . . ESA certainly holds that view.”⁵

² Library of Congress, Section 1201 Study: Notice and Request for Public Comment (Docket No. 2015-8), 249 Fed. Reg. 81369 (“NOI”).

³ Microsoft Comments at 5.

⁴ Copyright Alliance Comments at 12.

⁵ ESA Comments at 8.

Similarly, the Competitive Carriers Association writes that “increased burdens associated with more granular divisions . . . make participation harder.”⁶ The Cyberlaw Clinic at Harvard Law School describes in detail the “inappropriate” and “profound” burden that the current rulemaking places on those who are adversely impacted by Section 1201.⁷ And the American Association of Law Libraries describes the rulemaking process as “cumbersome.”⁸

While commenters may disagree on both the means and ultimate goals, it’s clear that reducing the burden and expense of the rulemaking on all concerned must be a focus for both the Copyright Office and Congress going forward. As discussed in EFF’s opening comments and those of Public Knowledge,⁹ the most comprehensive and straightforward way to reduce the burden and expense of the rulemaking is to permanently exempt circumvention with no substantial nexus to copyright infringement from the prohibitions of Section 1201.

2. The Copyright Office Can and Should Make Exemptions Easily Renewable.

There is a strong consensus among the commenters that exemptions granted in a triennial rulemaking should be renewed in subsequent three-year periods with little or no burden on proponents.¹⁰ Moreover, no participant has brought forth any binding law, evidence, or principled reason that the Copyright Office must wait for Congressional approval before streamlining the renewal of previously granted exemptions. In fact, under Section 1201 and the Administrative Procedure Act, the Office has wide latitude to change its procedures in response to address inefficiencies and unfairness that are now evident.¹¹

Procedural reforms must be pragmatic and meaningful. For example, opposition to a renewal should not trigger a full, adversarial inquiry unless it includes convincing evidence showing that adverse impact on non-infringing uses has ceased.

⁶ Competitive Carriers Association Comments at 4-5.

⁷ Cyberlaw Clinic at Harvard Law School Comments at 1.

⁸ American Association of Law Libraries Comments at 1.

⁹ Public Knowledge Comments at 5.

¹⁰ *See, e.g.*, Alliance of Automobile Manufacturers Comments at 6; Association of American Publishers et al. Comments at 12; Center for Democracy and Technology Comments at 5-6; Copyright Alliance Comments at 12; Institute of Scrap Recycling Industries at 8-11; Microsoft Comments at 6; Entertainment Software Association Comments at 9; Mozilla Corporation Comments at 5; Public Knowledge Comments at 4.

¹¹ *See* EFF Comments at 8-9.

3. The Books Don't Balance: Major Media Companies' Commercial Successes and Use of Digital Technology Don't Justify the Anti-Competitive Effects of Section 1201 on Independent Artists and Innovators.

In their comments, representatives of major media companies presented many examples of their digital distribution platforms and services.¹² While most of these services use some form of technological protection measures, and some have been commercially successful, their existence doesn't cure the many serious problems caused by Section 1201, nor do they justify inaction on those problems.

The various digital distribution services described in the Copyright Alliance, AAP et al, and ESA comments are not "enabled" by access controls, or by the ban on circumvention. Rightsholders can choose to distribute their work in digital format without access controls, and many do. For example, music downloads from Apple's iTunes store are unencrypted,¹³ as are videos and music streamed from YouTube and Bandcamp.¹⁴ Humble Bundle and Vodo sell games, ebooks, fonts, and other creative content without TPMs.¹⁵ The vast majority of creative and academic written works available on the Web, from articles to novels, are freely downloadable without TPMs as well, including content that requires a paid subscription.

The use of access controls and the nature of those controls are matters of choice. The argument that TPMs "enable" digital distribution makes sense only through the threat it implies: that rightsholders will boycott digital distribution platforms unless TPM is applied.¹⁶ But this threat was repeatedly shown to be hollow. For example, Apple's share of the music download market continued to grow long after it stopped applying TPMs to music downloads.¹⁷ And although television producers convinced the Federal Communications Commission to impose the "broadcast flag" copy protection mandate on broadcast TV receivers by threatening to stop licensing high-value content to broadcasters, expensive and popular programming is still broadcast over the air today, free of any technical copy or access controls, long after a court struck down those FCC rules.¹⁸ Thus, while the examples of digital distribution in rightsholders' comments show a *preference* for access controls among major media companies, they do not show that such controls are *necessary or beneficial* to the digital economy.

Moreover, the common feature of these digital media service examples is that they were created under the auspices of major media companies or their affiliates.

¹² See, e.g. AAP et al. Comments at 4-9; Copyright Alliance Comments at 4-10; ESA Comments at 2-5.

¹³ Bobbie Johnson, "Apple Drops DRM copy protection from millions of iTunes songs," The Guardian, Jan. 6, 2009, <http://www.theguardian.com/technology/2009/jan/06/apple-drops-itunes-copy-protection>.

¹⁴ See Bandcamp, <https://bandcamp.com/> (accessed April 1, 2016).

¹⁵ Humble Bundle, <https://www.humblebundle.com> (accessed April 1, 2016); Vodo, <http://vodo.net> (accessed April 1, 2016).

¹⁶ See Copyright Alliance Comments at 13 ("cause creators to refrain from distributing their work online").

¹⁷ Alex Pham, "iTunes Market Share Still Dominant After a Decade, Study Says," Hollywood Reporter, April 17, 2013, <http://www.hollywoodreporter.com/news/itunes-market-share-still-dominant-441063>.

¹⁸ Seth Schoen, "Into the DTV Era, With No Broadcast Flag Mandate," EFF Deeplinks Blog, June 12, 2009, <https://www.eff.org/deeplinks/2009/06/dtv-era-no-broadcast>.

Independent innovation in digital media can create more choice and autonomy for consumers, and can open new and lucrative markets for creative work. New businesses, without existing capital investments or commitments to particular customer bases or suppliers, can often develop technologies and markets that incumbents cannot or will not serve.¹⁹ But in the digital media space, truly independent innovation is frequently threatened and often suppressed entirely by copyright and anti-circumvention claims. Thus, even if “[m]embers of AAP, MPAA, and RIAA are continuously innovating,”²⁰ their examples show media technology reaching only a fraction of its potential.

4. The Copyright Office Should Refuse to Consider Non-Copyright Policy Concerns in the Triennial Rulemaking.

EFF joins numerous other organizations in asking the Copyright Office to state unequivocally that public policy issues other than copyright are not grounds for denying, qualifying, or limiting a regulatory exemption to Section 1201(a)(1).²¹ These comments echo the National Telecommunications and Information Administration’s recommendation during the 2014-15 rulemaking that “the deliberative process should not deviate too far afield from copyright policy concerns.”²²

Neither the Copyright Office’s solicitation of comments from other federal agencies nor the extensive discussions at the hearings about auto safety, air quality, vulnerability disclosure, and other diverse policy issues led to better exemptions, by any objective criteria. The only results were imposing a one-year delay on several exemptions (something the statute does not permit), and qualifications on several exemptions which tied eligibility to compliance with other laws.

A few commenters in this policy study, notably the Alliance of Automobile Manufacturers, have called for *more* discussion within the rulemaking of “non-copyright regulatory regimes that have been adopted to further broad national goals.”²³ This is an invitation for the Copyright Office to assume an unlimited mandate. There are scarcely any federal, state, local, or foreign regulatory regimes that could not be invoked in connection with computer software and the legitimate need to access and modify it. Continuing on the path suggested by the Auto Alliance would soon require the Copyright Office and the Librarian to consult with dozens of agencies before making final decisions. There is no better recipe for increasing the expense and complexity of the rulemaking.

Missing from the Auto Alliance comments and those of other participants is any shred of evidence that Congress intended the Office to consider a boundless array of public policy concerns in the triennial rulemaking. In fact, as described in EFF’s initial

¹⁹ See Clayton Christiansen, *The Innovator’s Dilemma* xx, 74, 89, 147 (2011 ed.).

²⁰ AAP et al. Comments at 4.

²¹ See, e.g., Auto Care Association Comments at 7-8; Cyberlaw Clinic Comments at 13-16; Public Knowledge Comments at 3-4.

²² Letter from Lawrence E. Strickling, Assistant Secretary for Communications and Information, U.S. Department of Commerce, to Maria A. Pallante, U.S. Register of Copyrights at 5 (Sep. 18, 2015).

²³ Auto Alliance comments at 3.

comments, Section 1201 does not authorize such a proceeding. The only question at issue in the rulemaking is whether users of copyrighted works are “adversely affected . . . in their ability to make noninfringing uses”²⁴ by virtue of the circumvention ban. The theoretical possibility that some non-infringing users might violate other, unrelated federal laws is irrelevant to that question, as is automakers’ apparent desire to suppress lawful modification, repair, diagnosis, and research. Inviting other federal and state agencies to participate in the rulemaking does not cure this lack of statutory authority.

5. Most Third-Party Assistance With Circumvention Is Not Trafficking; The Copyright Office Must Grant Exemptions for Such Assistance.

Circumvention performed by a third party on behalf of the lawful possessor of a device does not always amount to a violation of § 1201(a)(2) or (b). The Copyright Office is not prohibited from granting exemptions to § 1201(a)(1) liability for circumvention on behalf of another.²⁵ In fact, such exemptions are mandatory once an adverse impact on non-infringing use is demonstrated. There is no dispute that under current law, a violation of the anti-trafficking provisions is not excused by any temporary exemption to the anti-circumvention provision. But neither is there any serious dispute that some (indeed, many) examples of third-party assistance with circumvention do *not* violate the anti-trafficking provisions. None of the rightsholder groups who commented on this study addressed this legal question. The Office’s refusal to grant exemptions for third-party assistance on the grounds that *some* such acts might constitute trafficking is contrary to the statute.

The many problems caused by Section 1201 will not be fully remedied unless exemptions for non-infringing use are extended to the anti-trafficking provisions of § 1201(a)(2) and (b). Nonetheless, the Copyright Office can and must grant exemptions to § 1201(a)(1) liability for non-infringing activities, even when done on behalf of another. This will allow courts to decide cases about the contours of § 1201(a)(2) and (b) that today would be resolved on broader § 1201(a)(1) grounds, due to the Copyright Office’s failure to exempt non-infringing circumvention on behalf of another.

Conclusion

Section 1201 is in need of reform. The Copyright Office should recommend that Congress take action to fix the numerous problems identified in this study and in the recent exemptions rulemaking. In addition, the Office can take action under current statutory authority to reduce the burden and expense of the rulemaking and allow it to serve its vital purpose.

²⁴ 17 U.S.C. § 1201(a)(1)(B).

²⁵ EFF Comments at 10-11.